Even as Indira Gandhi was trying to reassure the people of Punjab that she was doing her best to restore peace in the state, terrorist activities continued unabated. On 12 October 1983, an assistant superintendent of jails was beaten up by Bhindranwale's men in the Golden Temple; one of Bhindranwale's Sikh critics was shot dead in Jalandhar; a shop owned by a Hindu was looted. Within two weeks of governor's rule, the Kashmir Mail going to Kolkata was derailed while passing through Punjab. As a result, nineteen passengers were killed and 129 injured. On 18 November, another bus was hijacked and four Hindu passengers were shot dead.

Simultaneously, friction was building between the highly demoralized Punjab Police and the CRPF. The latter felt that the Punjab Police were partisan and did not want to act against Sikh extremists. Within a couple of months of the imposition of president's rule in the state, even Congress MPs started expressing doubts about the efficacy of the government's 'weak-kneed' policy towards Punjab. During a debate in parliament, members from both sides demanded the arrest of Bhindranwale.

Bhindranwale, still living in Guru Nanak Niwas, now faced threats from two avenues. There was the fear of arrest by the police, and a challenge from members of the Akhand Kirtani Jatha and the Babbar Khalsa, who had come to protect Longowal and other moderate Akali Dal leaders living in Guru Nanak Niwas from Bhindranwale's killer squad. The Akhand Kirtani Jatha was led by Bibi Amarjit Kaur, widow of Fauja Singh, who had died in the attack on the Nirankari convention on 13 April 1981. She would openly criticize Bhindranwale as a coward.

The Babbar Khalsa, also a product of the Sikh anti-Nirankari movement, was fiercely anti-Bhindranwale too, and well-armed. Its leader, Sukhdev Singh, claimed that his group had killed forty-five Nirankaris. Both Bibi Amarjit Kaur and Sukhdev Singh were strongly opposed to the murder of Hindus and to the violence unleashed by the 'coward', Bhindranwale, in Punjab. Babbar Khalsa men entered Guru Nanak Niwas and ordered Bhindranwale's men to get out. While the latter claimed they did so on their own, the Babbar Khalsa claimed they had fled when threatened. Bhindranwale shifted to the safety of the Akal Takht on 15